IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - II, CHENNAI

CP(CAA)/71(CHE)/2021
In
CA(CAA)/865 & 866(CHE)/2020

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

of

Sondex Heat Exchangers India Pvt. Ltd.
CIN: U51900TN2008PTC134555
Reg. Off:-
Unit No. 602, 6th Floor, 4B Campus,
RMZ Business Park II, 143, Dr. MGR Road, Perungudi,
Chennai – 600 096
Represented by Mr. V.S. Muralidar
... Petitioner No.1/Transferor Company

With

Danfoss Industries Pvt. Ltd.
CIN: U29199TN1999PTC041877
Reg. Off:-
Unit No. 602, 6th Floor, 4B Campus,
RMZ Business Park II, 143, Dr. MGR Road, Perungudi,
Chennai – 600 096
Represented by Mr. G. Ganapathy Subramanian
... Petitioner No. 2/Transferee Company

Order Pronounced on 18th April 2022

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners : R. Inbaraju, *Advocate*

ORDER

***Per:* R. SUCHARITHA, MEMBER (JUDICIAL)**

Under consideration is a Company Petition filed by the Petitioner Companies above named for the purpose of the approval

of the Scheme of Amalgamation (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **Sondex Heat Exchangers India Private Limited** *(hereinafter referred to as "Transferor Company")* and **Danfoss Industries Private Limited** *(hereinafter referred to as "Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity the "Rules") pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed as Annexure 13 to the typed set of Petition.

2. 1ST MOTION APPLICATION – IN BRIEF

The Transferor and Transferee Companies had filed two First Motion Applications vide CA(CAA)/865 & 866/2020 under which, the Transferor Company had sought dispensation of the meetings of the Equity Shareholders, Secured Creditors and directions for conducting meeting of Unsecured Loan Creditors and Unsecured Trade Creditors. The Transferee Company had sought dispensation of meeting of Preference shareholders, and it was represented that there is **NIL** Secured Creditor in relation to the Transferee Company. The Transferee Company had sought directions for conducting meeting of Unsecured Loan Creditors as well as Unsecured Trade Creditors. Based on such application

moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 21.09.2021 wherein with respect to the Transferor Company, the meetings of the Equity Shareholders, the Secured Creditors were dispensed with while, meeting of Unsecured Loan Creditors and Unsecured Trade Creditors were directed to be convened on 27.11.2021. With Respect to the Transferee Company, the meeting of Preference shareholders and Secured Creditors were dispensed with while, meeting of Unsecured Trade Creditors and Unsecured Loan Creditors were directed to be convened on 27.11.2021. The Petitioner Companies were directed to present the Company Petition on or before seven (7) days from the date of filing of the Chairman's Reports with the registry.

The Report of the Chairman was filed in the registry as on 1.12.2021, with SR No. 5582 for the Transferor Company and SR. No. 5583 for the Transferee Company.

The details of the Report are as follows:

I. **Transferor Company**:

(a) Unsecured Loan Creditors:-

- Meeting was held on 27th November, 2021 at 10:00 am at Unit No. 602, 6th Floor, 4B Campus, RMZ Business Park II, 143, Dr. MGR Road, Perungudi Chennai, TN – 600 096.
- The quorum for the meeting was fixed as 1 (one). The Meeting was attended by 1 (one) Unsecured Loan Creditor

entitled to Rs. 5,52,55,518/- (Rupees Five Crore Fifty Two Lakh Fifty Five Thousand Five Hundred and Eighteen Only) representing 96% of the total value of Unsecured Loan Creditors of the Transferor Company. The unsecured Loan Creditor voted in favour and thereby the Resolution Scheme was approved and agreed.

(a) Unsecured Trade Creditors:-

- Meeting was held on 27th November, 2021 at 11:00 am at Unit No. 602, 6th Floor, 4B Campus, RMZ Business Park II, 143, Dr. MGR Road, Perungudi Chennai, TN – 600 096.
- The quorum was fixed as 5 (five). The Meeting was attended by 12 (twelve) Unsecured Trade Creditors entitled to a total of Rs. 7,61,25,337/- (Rupees Seven Crore Sixty One Lakh Twenty Five Thousand Three Hundred and Thirty Seven Only) representing 87.05% of the total value of Unsecured Loan Creditors of the Transferor Company.
- All the 12 (twelve) Unsecured Trade Creditors voted in favour of the Resolution for the Scheme.

II. **Transferee Company:**

(a) Unsecured Loan Creditors:-

- Meeting was held on 27th November, 2021 at 12:00 pm at Unit No. 602, 6th Floor, 4B Campus, RMZ Business Park II, 143, Dr. MGR Road, Perungudi Chennai, TN – 600 096.

- The quorum for the meeting was fixed as 2 (two). The meeting was attended by 1 (one) Unsecured Loan Creditor entitled to Rs. 357,20,96,000/- (Rupees Three Hundred and Fifty Seven Crore Twenty Lakh Ninety Six Thousand Only) representing 72% of the total value of Unsecured Loan Creditors of the Transferor Company. The Sole Unsecured Loan Creditor voted in favour and thereby the Resolution Scheme was approved and agreed.

(b) Unsecured Trade Creditors:-

- Meeting was held on 27th November, 2021 at 2:00 pm at Unit No. 602, 6th Floor, 4B Campus, RMZ Business Park II, 143, Dr. MGR Road, Perungudi Chennai, TN – 600 096.
- The quorum was fixed as 15 (fifteen). The Meeting was attended by 28 (twenty eight) Unsecured Trade Creditors entitled to a total of Rs. 69,74,94,595/- (Rupees Sixty Nine Crore Seventy Four Lakh Ninety Four Thousand Five Hundred and Ninety Five Only) representing 79.92% of the total value of Unsecured Loan Creditors of the Transferor Company.
- All the 28 (twenty eight) Unsecured Trade Creditors voted in favour of the Resolution for the Scheme.

Subsequently these petitions were filed before this Tribunal by the Petitioner Companies on 06.12.2021 for sanction of the Scheme of Amalgamation by this Tribunal.

3. RATIONALE OF THE SCHEME

The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in various benefits for both parties including the following:

> *a. Simplify management structure, leading to better administration and reduction in costs from more focused operation efforts, rationalization standardization and simplification of business processes and the elimination of duplication and rationalization of administrative expenses.*
>
> *b. Greater integration and financial strength for the amalgamated entity, which would result in maximising overall shareholder value, and will improve the financial position of the amalgamated entity.*
>
> *c. The amalgamation would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources resulting in substantial reduction in Statutory Compliances.*
>
> *d. Simplification of group structure by eliminating multiple companies having similar objective or business.*
>
> *e. The restructuring and consolidation of inter-company shareholding shall benefit the shareholders in terms of value of the combined entity.*

4. In the second motion application filed by the Petitioner Companies in relation to this Petition, this Tribunal vide order dated 03.02.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional

Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department (iv) Official Liquidator, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an Affidavit of service with the Registry of this Tribunal on 28.02.2022 reporting compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have complied with the direction for paper publication by the Tribunal in one issue of "Business Standard" (Chennai Edition) in English and "Makkal Kural" (Chennai Edition) in Tamil on 24.02.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies Chennai (iii) Official Liquidator (iv) Income Tax Authority, and the AoS is dated 09.02.2022. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR

(i) The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued has filed his Report

before this Tribunal on 23.02.2022 and has stated that Clause 7 of Part II of the Scheme provides for the protection of the interest of the employees of the Transferor Company. It was further observed that as per the report of RoC, Chennai, the Petitioner Companies have filed their statutory returns upto 31.03.2021. Further, the RoC Chennai has stated that there is no prosecution / complaint / inspection or investigation pending against the Companies.

(ii) The RD in Para 10 of the Report has stated that, as per clause 14 Part III of the Scheme, the Transferee Company shall issue and allot to the Shareholders of the Transferor Company 01 (One) fully paid up equity share of Rs. 10 each for every 17 (Seventeen) equity shares of Rs. 10 each held by them in the Transferor Company as consideration upon the effectiveness of the Scheme.

(iii) The RD in Para 11 of his Report has stated that Clause 12 of Part III of the Scheme provides for the Accounting treatment in the books of the Transferee Company which states that the assets and liabilities of the Transferor Company shall be recorded at their carrying amount and the transactions are accounted as per Accounting Standards (AS) 14 notified under Section 133 of the Companies Act, 2013

read with the Companies (Accounts) Rules, 2014 as amended.

(iv) The RD in para 12 of his Report further submits that Clause 13 of Part III of the Scheme provides for clubbing of Authorised share capital of the Companies. For the same, the Transferee Company has undertaken to remit the difference in filing fee and stamp duty, if any and also to file the amended MoA and AoA with the RoC, Chennai.

(v) It is further submitted by the RD in Para 13 of the report that, Clause 13 Part III of the scheme has provided for the dissolution of the Transferor Company without winding up. Thus, after examining the Scheme, the Regional Director, except for the said observations, has decided not to make any objection to the Scheme.

6.2. **OFFICIAL LIQUIDATOR**

(i) In relation to the Official Liquidator, *(hereinafter referred to as the 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 05.03.2022 and has stated that they have appointed one M/s. Ramesh and Ramachandran, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. The Chartered Accountants in their

report submitted before the Official Liquidator have observed as follows:

a) The Board of Directors of the Transferor Company at their meeting held on 27.02.2020 has approved the said Scheme of Amalgamation.

b) The Company is maintaining proper books of account and statutory records as per requirements of the Companies Act, 2013.

c) All entries have been made in the Statutory Registers in accordance with the Companies Act, 2013 and no discrepancies were noted.

d) The accounts and records of the company have been audited and the Auditor's report did not contain any adverse remarks for the year ended 31.03.2021, 31.03.2020 and 31.03.2019.

e) The company had filed various returns with the Registrar of Companies in time and no case was pending against the company or nay of its Directors/ Officers and no prosecution has been launched under any of the sections of the Companies Act, against the company or any of its Directors. There are no complaints of any nature against the company or Directors.

f) The Chartered Accountants have examined the records and documents filed with the concerned Registrar of Companies and nothing adverse or objectionable affecting the interest of the company or its members or creditors or prejudicial to the public interest was noticed.

(ii) From the above observations made by the Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has

also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs.50,000/-** (Rupees Fifty thousand Only) to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

6.3. **OTHER AUTHORITIES**

In relation to notice issued to Department of Income Tax, none of them appeared before this Tribunal, nor have filed its report / reply and raised any objections to the Scheme and in the circumstances, this Tribunal under Section 230(5) of the Companies Act, 2013 presumes that other statutory Department viz. The Income Tax Authorities, The Reserve Bank of India and the Competition Commission of India does not appear to have any objection to the sanction of the Scheme.

In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> "taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in

RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

A similar entitlement is granted to the IT Department if any tax is found due.

7. ACCOUNTING TREATMENT

7.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificate issued by the Statutory Auditors certifying the Accounting Treatment of Petitioner Companies is annexed as Annexure along with the typed set.

8. OBSERVATIONS OF THIS TRIBUNAL

8.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner Companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further, there seems to be no objection on the part of the shareholders that the Scheme is in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation annexed as Annexure 13 of CP(CAA)/71(CHE)/2021.

8.2. The Learned Counsel for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

8.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment,

statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

8.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

9. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Companies shall, pursuant to section 232(3) of the Companies Act, 2013, without further act or deed, be transferred to and vest in or be deemed to have been transferred to and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(iv) That the Appointed date for the Scheme shall be 1st April 2021 as specified in the Scheme itself in terms of Section 232 (6) of the Companies Act, 2013.

(v) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required by the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration

and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

10. Accordingly the Company Petition stands **Allowed** on the aforementioned terms.

-sd-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-sd-
(R. SUCHARITHA)
MEMBER (JUDICIAL)

HP